

Answer Key — Exchange Concepts Knowledge Check, Variant 02

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall.

#	Correct	#	Correct
1	A, C, D	16	A, C, D
2	A, B, D	17	A, C, D, E
3	B, C, E	18	A, B, C, E
4	A, B, D, E	19	A, C, D, E
5	A, B, C, E	20	A, B, D, E
6	B, C, D	21	A, B, C, E
7	A, C, E	22	A, B, C, E
8	A, B, D, E	23	A, B, D, E
9	A, C, D	24	A, B, C, D
10	A, B, C	25	A, C, E
11	A, C, E	26	A, B, C, E
12	A, B, C, E	27	A, B, D
13	A, B, D	28	B, C, D, E
14	A, B, D	29	B, C, D, E
15	A, C, D, E	30	A, C, E

Notes on selected answers

- **Q3(A, D):** The aggressive order that crosses the spread is the "taker," not the "maker" (A false as written). A quote is specifically a market maker's two-sided bid/ask pair, not a one-sided instruction (D false).
- **Q6(A):** Futures and options are contracts about future transactions, not claims on assets that already exist — that description applies to equities, not derivatives.
- **Q9(B):** "Back of queue on refresh" is described as the *most* common rule for iceberg replenishment, not the least common.
- **Q11(B):** A spread price of −\$2.00 means January trades \$2.00 *below* February, not above it.
- **Q14(C, E):** The spread between a \$150.34 bid and \$150.35 ask is \$0.01, not \$0.02. Sweeping multiple levels routinely produces a worse average price than the top-of-book quote — that is the definition of market impact/slippage.

- **Q18(D):** The state machine diagram checks dormant stops *after* publishing the FILLED/PARTIAL event for the triggering trade, then publishes all events together — stops are not checked before any fill event is published.
- **Q25(B, D):** Position/credit limit checks require live clearing-system data and are explicitly the *most* expensive check, run last; checks are deliberately sequenced fail-fast rather than run in parallel.
- **Q28(A):** Mass cancel can be initiated by the participant; a kill switch can be triggered by the participant, the exchange, or an automatic disconnect handler — the "only the exchange" framing in A is reversed from the source.
- **Q30(D):** NYSE processed every one of Knight's roughly four million orders correctly and validly; none were rejected by the exchange, since each was individually valid at the prevailing market price.